



Hines

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Perspectives

Better Together: *Where Infrastructure and Real Estate Converge*



The boundary between infrastructure and real estate has become increasingly blurred, creating a broader real assets opportunity with complementary sources of resilience, income, and recovery-driven growth.

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The past several years have forced many investors to rethink some long-held assumptions.

Interest rates are no longer near zero. Public market valuations have remained elevated. Geopolitical tensions, industrial policy shifts, and supply chain realignment have been reshaping how and where capital is deployed. At the same time, AI and digital infrastructure demand have been putting enormous pressure on power systems, logistics networks, and physical infrastructure worldwide.

Public markets have performed well through much of this period, but many investors are questioning how durable those returns will be if growth slows or volatility rises.

Some private market sectors also appear to be entering a more mature phase of the cycle. Private equity performance, for example, has increasingly tracked public equity markets over time, raising similar valuation concerns for investors looking to avoid concentrated market exposure (see Figure 1). If investors are focused on elevated valuations in public equities, it could be difficult to ignore similar concerns across parts of private markets as well.

Key Takeaways

Infrastructure and real estate increasingly overlap across the built environment. That convergence has become visible across assets such as data centers, logistics platforms, airports, convention centers, sports stadiums, social infrastructure such as healthcare and affordable housing, and mixed-use developments.

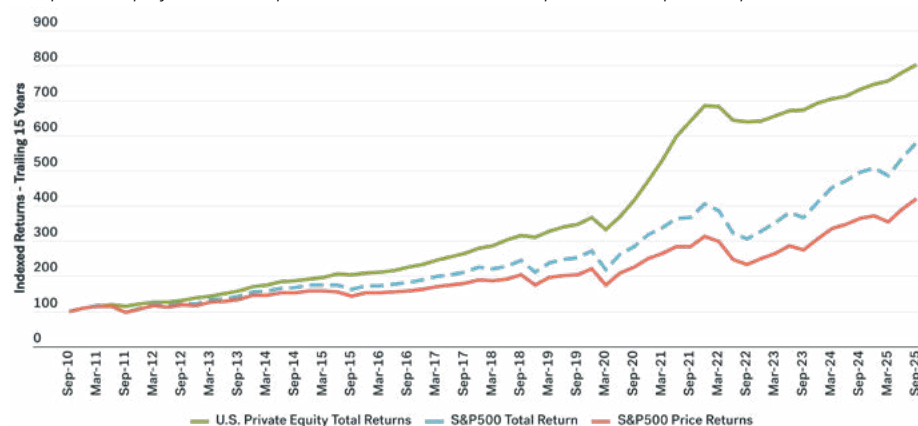
That convergence has potential implications for investors because the two sectors share common real-asset DNA but often deliver resilience, inflation sensitivity, income, and cyclical upside in different proportions.

This combination could be even more critical today as investors face increasingly volatile and uncertain markets. Within a broader real-assets framework, investors could use infrastructure for stability and durable income while using repriced private real estate for recovery-driven growth as supply constraints support fundamentals.

Hines Research has found that, historically, combining the two sectors in equal measure has improved return potential while maintaining relatively moderate volatility compared with more growth-oriented private market strategies.

Figure 1
Both Public and Private Equity Markets Have Done Well But Track Each Other

U.S. private equity total return performance indexed and compared to U.S. public equities



Sources: MSCI-Burgiss, Hines Research. As of 3Q2025, the most recent data point available for the Private Equity data. Covers the trailing 15-year period. We use the 15-year period (1) to represent a full cycle starting with the recovery from the Great Recession property downturn through to current, which includes the most recent downturn in property values; and (2) as the period may be more representative of the expected performance for private markets, which are still relatively "young" markets relative to publicly traded stocks and bonds. As an example, as late as 2005 (the start of the trailing 20-year period), Global Infrastructure data was based on only 18 funds at the most, but by 2010, the start of the trailing 15-year period, that had grown to 62 funds, a deeper sample set. We use quarterly time-weighted total returns calculated by MSCI-Burgiss using actual transactions, valuations and flows for the Private Equity fund universe. Private Equity includes Buy-out, Expansion and Venture Capital funds.



Recent headlines around rising debt fund redemption requests and downward pressure on lending rates suggest that the private corporate debt sector may be undergoing a natural cyclical moderation in total return potential. For investors focused on diversification, that may strengthen the case for looking beyond traditional private capital allocations.

Real assets may offer a compelling alternative. Private infrastructure and real estate both provide exposure to

hard assets tied to long-term economic activity. Historically, both sectors have delivered combinations of income, lower volatility, and some degree of inflation sensitivity relative to traditional public markets.

Importantly, however, infrastructure and real estate do not behave in exactly the same way. That matters today because investors may be entering a period when stability, income generation, and recovery-driven growth become increasingly valuable.

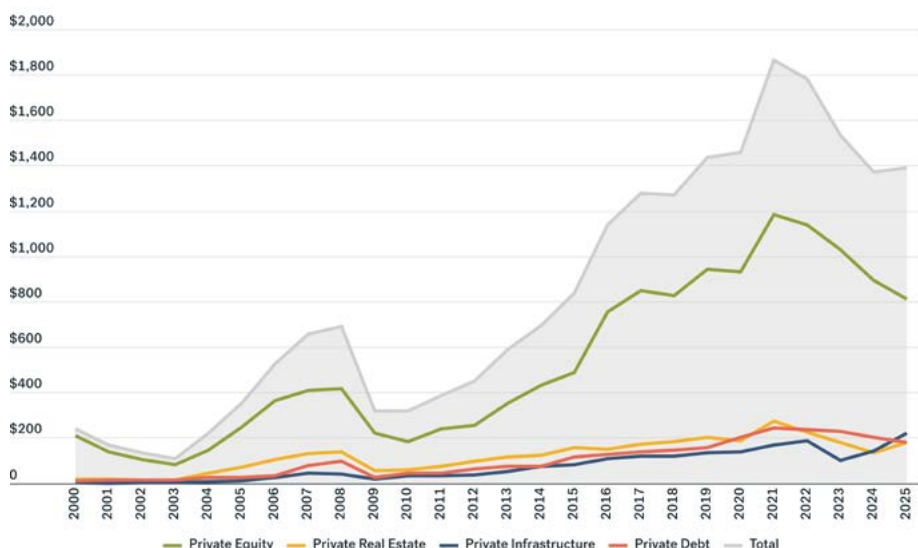
Infrastructure Has Been Growing, But So Has the Opportunity in Real Estate

Institutional interest in infrastructure has grown steadily over the past decade and appears to be accelerating. Investors have been drawn to infrastructure's long-duration cash flows, links to inflation, and defensive characteristics—particularly in a more uncertain macroeconomic environment.

Global infrastructure fundraising increased sharply in 2025, outpacing other private asset classes (see Figure 2). Demand has been fueled by energy investment, digital infrastructure growth, and the massive capital requirements associated with AI-related development.

Data centers require powered land, industrial facilities, and logistics networks. Manufacturing reshoring requires warehouses, housing, and transportation access. Population growth and urbanization have continued to support residential demand in supply-constrained markets.

Figure 2
While Global Private Market Fundraising Slowed From 2021-2024, Infrastructure (and Now Real Estate) Have Picked Up



Sources: Preqin, Hines Research. As of 2Q2026 but using only complete calendar years, so ending with 2025.

At the same time, real estate had already undergone a substantial repricing cycle. Values reset materially after interest rates started rising in 2022, and new development slowed sharply, in our opinion, a key precondition in the new recovery cycle (see Figure 3).

In prior periods, when supply was high, real estate rent growth could weaken, making constrained supply one of the most powerful forces in real estate. Across several key sectors, new development has slowed materially, creating conditions where even moderate growth in demand could support above-trend rent growth. In recent years, higher financing costs and elevated development hurdles have constrained new supply across many markets. In many sectors, development has become difficult to justify at current return expectations.

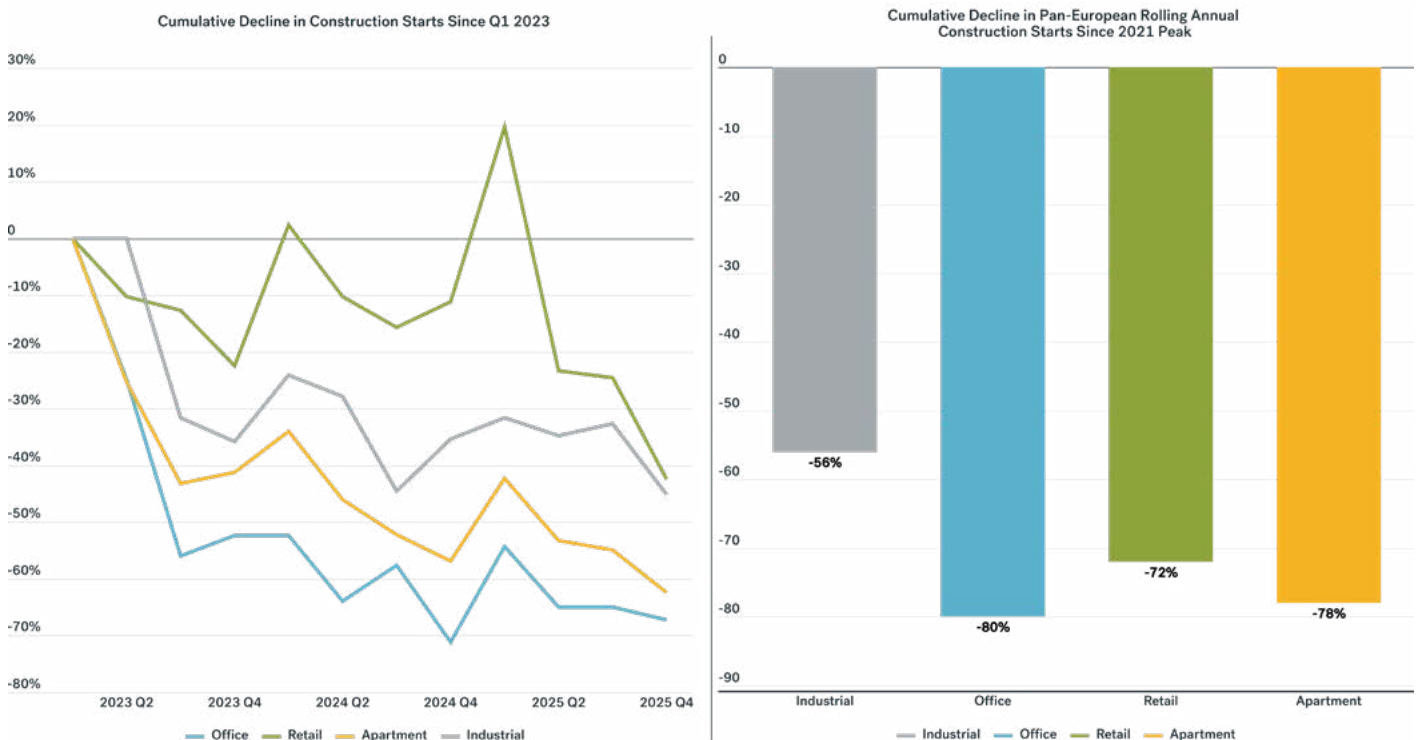
Historically, those environments have created attractive entry points for long-term investors.

Infrastructure could provide stability and durable income. Real estate may offer greater cyclical upside as markets recover and constrained supply begins to support fundamentals again. If historical recovery dynamics hold, we believe that real estate could experience a period of above-trend returns as markets and valuations normalize, though the pace and magnitude of the recovery will likely vary by sector and market.

For investors, the opportunity may not be choosing between the two, but combining them.



Figure 3
U.S. and European Supply Is Slowing Sharply As New Construction Starts Have Fallen in Absolute Numbers



Sources: Left-Hand Chart: CoStar, Hines Research. As of 4Q2025. All data are aggregates for 54 major U.S. metro markets covered by CoStar. Right-Hand Chart: MSCI Real Capital Analytics, Hines Research. As of 4Q2025.

Real Assets Share Common DNA

The distinction between infrastructure and real estate is often more institutional than economic, in our view. They became meaningfully separated as institutional asset classes in the 1980s and 1990s, primarily because of how large investors organized portfolios.

Both asset classes are grounded in physical, income-producing assets tied to essential economic activity. Infrastructure investments may include utilities, transportation systems, digital infrastructure, and renewable power. Real estate includes traditional sectors such as living, industrial, and office, along with specialty sectors such as logistics, life sciences, and self-storage.

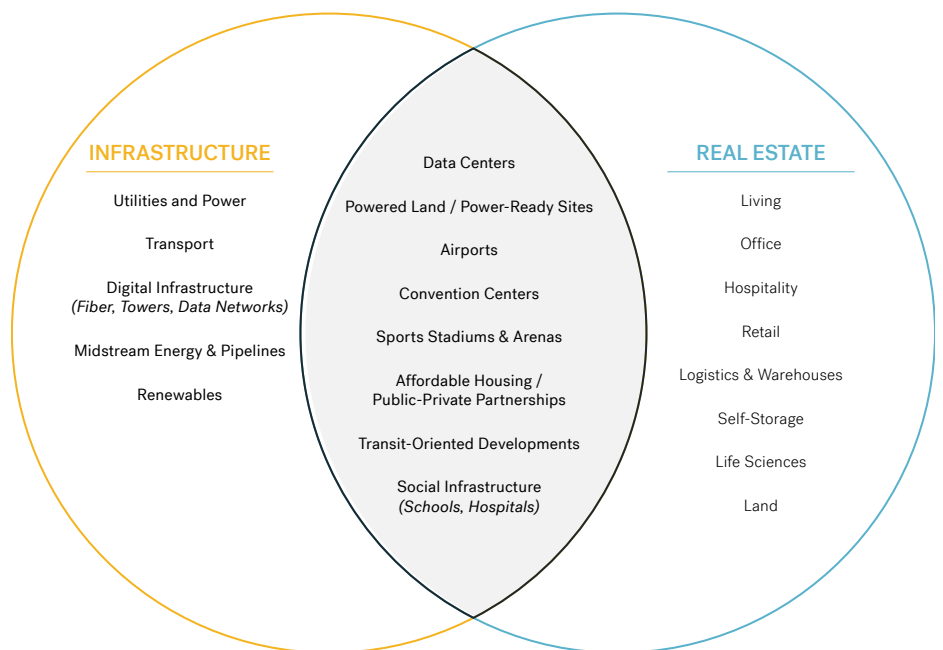
Both asset classes also tend to offer:

- Durable cash flow generation
- Hard asset backing with residual value even in stressed market environments
- Some degree of inflation sensitivity
- Lower historical volatility than public equities
- Exposure to long-term demographic and economic trends
- Multiple risk and return profiles across core, value-add, and opportunistic strategies

Hines has observed overlap between the sectors themselves—think data centers, airports, convention centers, stadiums, affordable housing tied to public contracts, and transportation-oriented mixed-use developments (see Figure 4).



Figure 4
Real Assets Are Converging

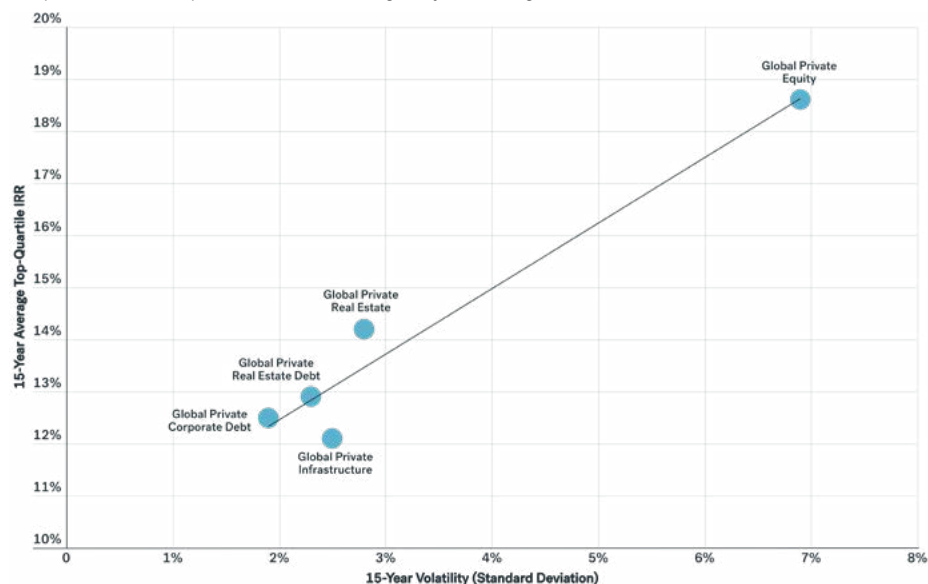


In our view, investors should move beyond siloed views of asset classes toward a broader understanding of how the built environment functions as a whole. Industrial assets have been supporting retail logistics and last-mile delivery. Airports have increasingly become consumer-oriented retail destinations. Residential buildings have incorporated hospitality and workplace functionality. Infrastructure and real estate have functioned less as separate categories and more as interconnected systems.

Historically, both infrastructure and real estate have delivered attractive combinations of return, income, and lower volatility relative to many public market asset classes, though with different risk and return profiles across the two sectors (see Figure 5).

This convergence may create new opportunities for investors able to think holistically about real assets.

Figure 5
Private Markets Are Generally Low-Volatility and Rational
IRR performance for private markets, trailing 15-year average annualized



Sources: MSCI-Burgiss, Preqin, Hines Research. As of 3Q2025, the most recent data point available, for the trailing 15-year period. We use the 15-year period (1) to represent a full cycle starting with the recovery from the Great Recession property downturn through to current, which includes the most recent downturn in property values; and (2) as the period may be more representative of the expected performance for private markets, which are still relatively "young" markets relative to publicly-traded stocks and bonds. As an example, as late as 2005 (the start of the trailing 20-year period), the Global Infrastructure series was based on only 18 funds at the most, but by 2010, the start of the trailing 15-year period, that had grown to 62 funds, a deeper sample set. We use internal rates of return on a quarterly basis created by MSCI-Burgiss using quarterly-updated valuations based on actual transactional flows data for the fund universe for each asset class shown. Private Equity includes Buy-Out, Expansion and Venture Capital. Private Corporate Debt is all Corporate Lending and includes Direct Lending, Opportunistic, Distressed Lending and Venture Debt. Global Private Infrastructure includes Core, Value-Add and Opportunistic funds, the latter included to consider the impact of doing Data Center development as part of infrastructure investment. Global Private Real Estate is a 50/50 weighted average of performance for Core Plus and Value-Add strategies with a portfolio variance formula used to calculate the standard deviation, hence considering inter-strategy correlations. The volatility is the average annualized volatility of the quarterly series of IRRs noted above.



Better Together

Infrastructure and real estate often deliver similar benefits, but in different proportions.

Core infrastructure has historically generated stable, income-oriented returns supported by regulated or contractual cash flows. Inflation protection is often embedded directly into pricing structures or concession agreements. Regulated utilities, for example, may benefit from contractual inflation linkage, regulated pricing structures, or rising replacement costs that allow revenues to increase alongside inflation.

Infrastructure may also include development-oriented strategies that

offer less immediate income and higher risk profiles, especially in sectors tied to digital infrastructure or energy transition development.

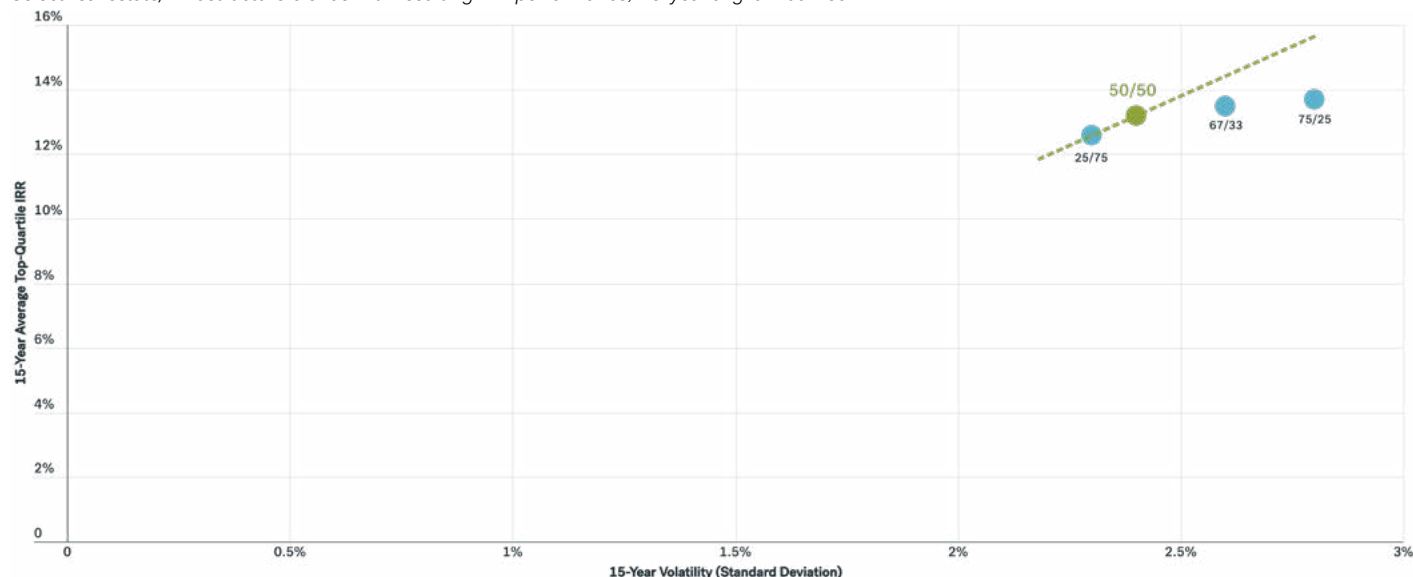
Real estate could also provide attractive income generation, particularly in core and value-add strategies, but appreciation tends to play a larger role in total return. Real estate may benefit more directly from improving fundamentals, rental growth, and cyclical recoveries—notably after periods of market repricing, when supply constraints have begun to support occupancy and rent growth again.

The relationship could become even more compelling when the two sectors are combined.

Historically, adding real estate exposure to an infrastructure allocation improved return potential while only modestly increasing volatility (see Figure 6). **In Hines Research's analysis, allocations combining infrastructure with up to 50% private real estate produced stronger risk-adjusted outcomes than infrastructure-only exposure** while maintaining lower volatility than more growth-oriented private market strategies.

Beyond that level, however, the incremental return benefit historically appeared less compelling relative to the additional risk assumed.

Figure 6
Real Estate and Infrastructure Are Better Together
Select real estate/infrastructure blends with resulting IRR performance, 15-year avg. annualized

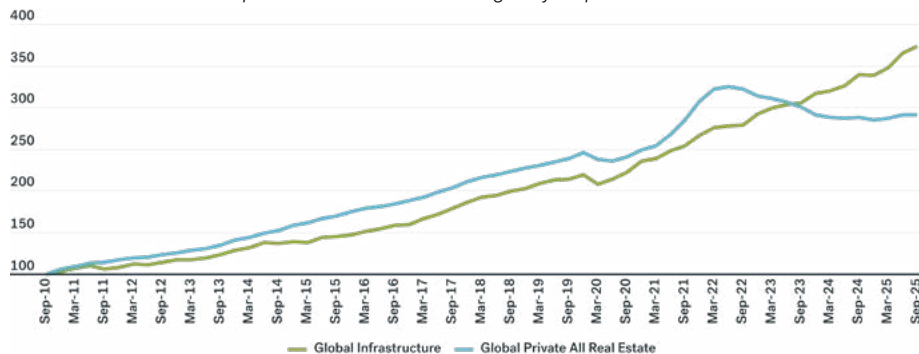


Sources: MSCI-Burgiss, Preqin, Hines Research. As of 3Q2025, the most recent data point available, for the trailing 15-year period. We use the 15-year period (1) to represent a full cycle starting with the recovery from the Great Recession property downturn through to current, which includes the most recent downturn in property values; and (2) as the period may be more representative of the expected performance for private markets, which are still relatively “young” markets relative to publicly-traded stocks and bonds. As an example, as late as 2005 (the start of the trailing 20-year period), the Global Infrastructure series was based on only 18 funds at the most, but by 2010, the start of the trailing 15-year period, that had grown to 62 funds, a deeper sample set. We use internal rates of return on a quarterly basis created by MSCI-Burgiss using quarterly-updated valuations based on actual transactional flows data for the fund universe for each asset class shown. Global Private Infrastructure includes Core, Value-Add and Opportunistic funds, the latter included to consider the impact of doing Data Center development as part of infrastructure investment. Global Private Real Estate is a 50/50 weighted average of performance for Core Plus and Value-Add strategies with a portfolio variance formula used to calculate the standard deviation, hence considering inter-strategy correlations. The volatility is the average annualized volatility of the quarterly series of IRRs noted above. The blended return and risk are calculated from blended series of IRRs over the last 15 years, so average IRRs and the average annual volatility of the IRR series, so implicitly considers the impact of correlations.

That brings us to today. Infrastructure has remained comparatively resilient through the recent market adjustment. Real estate, meanwhile, appears to be early in its recovery cycle following the reset that began in 2022 (see Figure 7). **If historical recovery dynamics hold, real estate investors could experience a period of above-trend “catch-up” returns as markets normalize over the next several years,** though we expect this will vary by sector and geographic region.

Rather than replacing real estate exposure, rising infrastructure allocations may strengthen the case for pairing the two sectors together within a broader real assets strategy.

Figure 7
Global Private Real Estate Is Cycling with Its Downturn Seemingly Over
Private market total return performance, indexed, trailing 15-year period



Sources: MSCI-Burgiss, NCREIF, ANREV, INREV, Hines Research. As of 3Q2025, the most recent data point available, for the trailing 15-year period. We use the 15-year period (1) to represent a full cycle starting with the recovery from the Great Recession property downturn through to current, which includes the most recent downturn in property values; and (2) as the period may be more representative of the expected performance for private markets, which are still relatively “young” markets relative to publicly-traded stocks and bonds. As an example, as late as 2005 (the start of the trailing 20-year period), the Global Infrastructure series was based on only 18 funds at the most, but by 2010, the start of the trailing 15-year period, that had grown to 62 funds, a deeper sample set. We use quarterly time-weighted total returns calculated by MSCI-Burgiss using actual transactions, valuations and flows for the fund universe by alternative asset class shown. Global Private Infrastructure includes Core, Value-Add and Opportunistic funds, the latter included to consider the impact of doing Data Center development as part of infrastructure investment. Global Private Real Estate Debt is a 50/50 weighted average of performance for Core and Value-Add strategies.

Data Centers and Powered Land: A Case Study in Convergence

We believe that few sectors better illustrate the convergence of infrastructure and real estate than data centers.

The explosive growth of AI, cloud computing, and digital connectivity has accelerated demand for data center capacity globally. But increasingly, the opportunity could extend beyond the buildings themselves.

Power availability, land entitlement, and infrastructure readiness have become critical bottlenecks in the development pipeline. The scarce resources have often not been capital but execution—securing land, procuring power, navigating entitlement processes, and delivering projects in supply-constrained markets.

This dynamic could create opportunities across both infrastructure and real estate strategies.

Infrastructure investors may pursue long-duration digital infrastructure exposure through operational facilities and vertically integrated development strategies. Those investments may offer attractive return potential, but they also carry construction, leasing, and operational risk.

Real estate managers, meanwhile, may approach the opportunity differently by focusing on powered land development and horizontal infrastructure. In many cases, managers may monetize sites before vertical construction begins, reducing exposure to facility construction and leasing risk while still seeking to benefit from growing demand for digital infrastructure capacity.

In that sense, powered land may represent a differentiated risk-adjusted approach to the data center opportunity.

Hines Research estimates that approximately 40,000 acres of powered land may be required globally over the next five years to support projected data center demand. That includes



just the ground under the data centers themselves, and we expect significant further demand for space for ancillary office, logistics, and industrial development surrounding those data centers.

The opportunity may be particularly compelling in parts of Europe in the near to medium term, though the U.S. and Asia also continue to present attractive development opportunities.

The broader implication has been that some of the most compelling opportunities across real assets may increasingly emerge where infrastructure and real estate overlap.

Convergence *Creates Opportunity*

Investing in real assets has become more capital-intensive, more operationally complex, and less defined by traditional asset class boundaries.

Infrastructure continues to attract institutional capital because of its resilience, inflation sensitivity, and durable cash flows. Real estate, meanwhile, appears positioned to benefit from improving fundamentals, constrained supply, and a recovery already underway across several sectors. These complementary characteristics may prove even more valuable for investors concerned about the future of market growth and stability.

But the more important point may be convergence. Digital infrastructure, logistics networks, powered land, social infrastructure, and mixed-use development have increasingly linked infrastructure and real estate into a more integrated investment universe.

That shift may create a broader opportunity set for investors able to underwrite both sectors together. In our view, the most compelling opportunities in real assets are likely to emerge where infrastructure and real estate overlap—and capitalizing on them will require fluency in both.

Infrastructure and real estate may prove more powerful together than apart. We believe investors should evaluate both asset classes together, and equally, within a broader real-assets framework.



About Hines' Proprietary Research Team

Joshua Scoville is Senior Managing Director and Global Head of Research at Hines. His team, including Michael C. Hudgins, Senior Managing Director and the lead author of this paper, is responsible for constructing the Hines macroeconomic view and the outlook for commercial real estate market fundamentals and pricing. Hines Research is also responsible for assisting with the development of investment strategies for the firm's investment programs; working closely with the local and fund management teams, clients, and partners; and supporting geographic

leaders in identifying market/submarket opportunities and risks. The views of the local and fund management teams on the latest market developments are exchanged regularly via biweekly conference calls and quarterly market updates, and are essential for reviewing investment strategies and fund portfolio allocations. Additional members of Hines' Proprietary Research team include Ryan McCullough, James Purvis, Tim Jowett, Erik Thomas, Michael Spellane, and Anthony Witkowski.

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